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Is our political economy capable of taking tough decisions in good times? The answer seems to be no.”

SUMAN BERY, DIRECTOR GENERAL, NCAER

not have a clear number on that. We are all throwing numbers in the air—is it 5, is it 6? This is a banana republic.

Ranade: *Banane ka* republic.

Chawla: What about FRBM?

Ranade: All of us are saying that we need an FRBM-II. We learn from these experiences. You tighten it more.

Is this the END OF TAX REFORMS?

Chawla: We had thought the Kelkar Committee would change the way we administer tax reforms.

Dev: The tax reforms have continued. On exemptions for industry, which have now reached Rs 3,30,000 crore, I was expecting something in this Budget, but nothing happened.

Chawla: In the last three years, exemptions have gone up from Rs 2 lakh crore to Rs 3.30 lakh crore. Is this a sustainable model? How long can you go on doing this?

Dev: I don't think it is sustainable. The exemptions should be removed.

Shah: I think we have made genuine progress. Tax administration has improved substantially. We have been chipping away at making progresses on tax policy. I disagree with many decisions of this Government particularly the securities transaction tax which I thought was a complete mistake. I think, over five years we have made important progress both on tax policy and on tax administration.

Debroy: Is it the end of tax reforms under UPA? The answer is to a large extent, I think, yes. Is it the end of tax reforms?

No, because this is the last Budget of the UPA Government.

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The spending has been there but it doesn't create a ripple effect. Boosting entrepreneurship in rural India could have spurred employment.”

SIDDHARTHA ROY,
CHIEF ECONOMIST, TATA SONS



RAVI S SAHANI

Will this Budget SPUR GROWTH?

Debroy: No.

Roy: No. It will not spur growth. It has not done anything on either the savings or the investment side.

Ranade: Marginally.

Bery: I would have said that if there had been more fiscal adjustments it would have allowed interest rates to come down. That would have been more stimulative. But that is not the route he has chosen to take.

Shah: The answer is no because it damages investment and the animal spirit. So what it gives in the pocket to consumers, it clouds the picture for the investor and the entrepreneur.

Can budgets HARVEST VOTES?

Roy: In certain pockets.

Ranade: No.

Bery: Probably not in the general election. In certain state polls, particularly Maharashtra, it might.

Shah: No.

Chawla: Populist measures have not got any government votes in the next election. I do not see any exception in this because ever since 1991, when the so-called reform era started, every reformist finance minister has made his government lose in the next election. It happened with Jaswant Singh and Chidambaram earlier.

by Shankar Aiyar and Nandini Valsh

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